Consultancy Report

Avoiding conflict and performance failure of future EU projects : Key considerations for the EU commission

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Executive Summary

This advisory report, prepared for the European Commission, contains strategic recommendations to avoid conflicts and improve the success rate of EU-funded multinational projects. Drawing on insights from Jackson & Rasheed's case study on the European Palestinian Project Office (EPPO), it identifies key governance challenges and offers practical solutions to improve project efficiency and collaboration in diverse, cross-border environments.

The governance of multinational projects is fraught with significant challenges, including financial mismanagement, political interference, cultural misalignment and weak conflict resolution mechanisms. To address these issues, this report proposes a governance framework based on four key pillars:

Cross-Cultural Integration – Conducting cultural audits, implementing inclusive policies and drawing from Singapore's ethnic integration policy will help bridge cultural divides, improve communication and foster greater collaboration between project teams.

Conflict Resolution and Reconciliation – Establishing structured conflict resolution mechanisms modelled on El Salvador's multi-layered security approach to security and South Africa's Truth and Reconciliation Commission will create a proactive system to resolve disputes before they escalate.

Optimized Resource Allocation – The introduction of performance-based funding, inspired by South Korea's post-war development strategy, will ensure an efficient allocation of financial and human resources. Transparent salary structures and targeted investments will improve the accountability and sustainability of projects.

By adopting these strategies, the European Commission can minimize governance-related risks, improve cooperation and strengthen the long-term impact of EU-funded projects. These recommendations aim to foster more resilient, efficient and sustainable international partnerships reinforcing the EU's leadership in global development.

Introduction

This consultancy report has been prepared for a panel of project assessors at the European Commission, with the aim of providing actionable recommendations to help avoid conflicts and performance failures in future EU funded multinational projects. Drawing on the insights from the Jackson & Rasheed case study of the European-Palestinian Project Office (EPPO), this report outlines key strategies to address common challenges that can arise during cross-border collaborations. The EPPO case serves as a practical example of the complexities involved in large-scale multinational projects, where differing interests, cultural dynamics, and resource allocation issues can lead to significant delays and inefficiencies.

In response to these challenges, this report proposes a set of objectives for the European Commission to adopt in its approach to managing future projects. These objectives focus on integrating cross-cultural intelligence, establishing robust conflict-prevention frameworks, optimising resource allocation, and promoting inclusive decision-making processes. By implementing these recommendations, the European Commission can not only mitigate risks but also enhance collaboration and foster a more cohesive working environment across diverse project teams. Ultimately, these strategies aim to reinforce the EU's broader goals of unity, innovation, and sustainable growth in an increasingly complex and interconnected global landscape.

Background of the Report

The Role of the Consultancy Report

This consultancy report has been commissioned to support the European Commission's Unit for External Governance, Transparency, and Compliance (EGTC)'s ongoing efforts to strengthen governance oversight and conflict avoidance in EU-funded projects. The report will assess existing practices, identify potential gaps or weaknesses, and provide strategic recommendations for improving the unit's operational framework. The report will also explore lessons learned from past governance failures, such as the EPPO case, and offer insights into how these lessons can inform future project management practices. By drawing on global best practices, including examples from countries such as Singapore (Dent, 2001) and El Salvador (Wolf, 2012), the report will provide recommendations for enhancing the EGTC's ability to prevent conflicts, improve governance structures, and ensure the successful delivery of EU-funded projects in politically fragile regions. The consultancy report will play a crucial role in helping the EGTC meet its mission to promote transparency, accountability, and sustainability in international development.

The framework provided will draw on practices which emphasise proactive conflict prevention instead of reactive crisis management. For instance, Venezuela's experience with international cooperation underscores the need to navigate political instability and economic challenges in cross-border initiatives. By fostering diplomatic dialogue and adaptive management strategies, the European Commission can draw lessons from Venezuela's challenges to strengthen resilience and ensure the success of EU-funded multinational projects. These examples serve as a guide for the European Commission to refine its project management methodologies, ensuring they are resilient, equitable, and responsive to the diverse needs of EU stakeholders.

Global Challenges and Lessons from Past Governance Failures

The global context in which the EGTC operates has become increasingly complex in recent years. International development projects are often implemented in politically unstable and conflict-prone regions, where governance structures are weak, and security risks are high. Instances of governance failures in EU-funded projects, such as financial mismanagement, political interference, and corruption, have underscored the vulnerability of these initiatives. High-profile cases, including the mismanagement of EU-funded aid highlight the need for more robust oversight and accountability measures. Furthermore, lessons can be drawn from the experiences of countries like Venezuela, where political instability and economic crises have posed significant challenges for international cooperation (Duddy, 2015). The EGTC must navigate these complex geopolitical landscapes and learn from past mistakes

to strengthen its governance frameworks and improve the effectiveness of future EU-funded projects.

Client Profile: Directorate-General for International Partnerships (DG INTPA) – Unit for External Governance, Transparency, and Compliance (EGTC)

1. Client Overview

The Unit for External Governance, Transparency, and Compliance (EGTC) forms a core part of the Directorate-General for International Partnerships (DG INTPA) within the European Commission. It was established with the principal aim of ensuring the accountability, transparency, and compliance of EU-funded projects operating outside the Union, particularly in politically unstable or developing regions (International Partnerships, 2025). The unit's creation was a strategic response to the growing complexity and scale of international development aid, as well as the increasing involvement of non-EU NGOs in governance oversight, which introduced new risks and challenges to the implementation of EU projects.

In recognition of these complexities, the EGTC was designed to mitigate governance-related conflicts, performance failures, and financial mismanagement in EU-funded projects by providing a structured oversight mechanism. The unit focuses on strengthening governance practices, ensuring adherence to financial transparency measures, and fostering ethical compliance in all aspects of project execution. Given the diverse and often challenging political environments in which these projects are carried out, the EGTC plays a pivotal role in safeguarding the European Commission's objectives of promoting democratic values, sustainable development, and human rights across the globe.

A key aspect of the EGTC's mandate is its proactive approach to preventing governance-related failures. Through comprehensive monitoring, risk assessments, and stakeholder engagement, the unit aims to identify vulnerabilities at the earliest stages of project implementation. This anticipatory approach not only allows for corrective action before issues escalate but also enhances the overall effectiveness of the EU's external aid strategies.

Moreover, the establishment of the EGTC marks a significant shift towards a more rigorous governance model in the implementation of EU-funded projects. The evolving nature of international development aid, combined with the increasing role of global governance institutions, necessitated the creation of an expert body within the European Commission to tackle the challenges of ensuring compliance with both EU regulations and the diverse legal frameworks of the host countries in which EU-funded projects are operated.

2. Organisational Structure and Hierarchy

The organisational structure of the EGTC is strategically designed to facilitate effective oversight, transparency, and compliance in EU-funded projects. It is composed of a highly skilled team of experts who are specialists in governance, compliance monitoring, risk

management, legal affairs, and stakeholder engagement. Each expert is committed to guiding their teams towards the successful attainment of goals and objectives. The EGTC is a centralised unit within DG INTPA, which allows for a streamlined approach to governance oversight, while ensuring that its activities are aligned with the broader strategic objectives of the European Commission.
At the helm of the EGTC is Dr. Sabine Berger, the Director of External Governance and Compliance. Dr. Berger brings to the role extensive experience in international governance, regulatory affairs, and policy development. Her leadership is fundamental to the strategic direction of the EGTC, as she oversees the development and implementation of the unit's governance frameworks, ensuring that they are in line with both EU and international standards. Dr. Berger's responsible for ensuring that the EGTC's activities are aligned with the European Commission's broader objectives, particularly with regard to international development, democratic governance, and human rights. Under her guidance, the EGTC strives to maintain a proactive approach to risk mitigation, conflict prevention, and compliance enforcement in EU-funded projects across the globe.

Supporting Dr. Berger is a team of experts, each with specialised knowledge in different areas of governance, compliance, and risk management. The first of these is Jonas Mikaelsson, who serves as the Head of Conflict-Zone Governance Monitoring. Mr. Mikaelsson is an experienced specialist in conflict-sensitive governance and international development in politically unstable regions. His role is critical to the EGTC's ability to assess and manage governance risks in countries or regions where political instability, corruption, or insecurity pose significant challenges to the success of EU-funded projects. Mr. Mikaelsson's team is tasked with conducting detailed governance assessments in conflict zones, identifying potential risks, and providing recommendations for mitigating these risks through proactive measures.

Another key member of the team is Catrine Rinaldi, the Senior Compliance Officer. Ms. Rinaldi is responsible for overseeing the financial audits and regulatory assessments of EU-funded projects that are implemented by external NGOs. Her team ensures that all recipients of EU funding adhere to the EU's stringent financial and regulatory standards, as well as the legal requirements of the host countries. Ms. Rinaldi's expertise is instrumental in identifying financial mismanagement, fraud, or other forms of corruption that could jeopardise the integrity of the projects. Her work ensures that the funds allocated by the European Commission are used for their intended purposes, and that all financial transactions are properly documented and accounted for.

Hans Muller, the Legal and Regulatory Affairs Expert, provides crucial support to the EGTC by ensuring that all projects comply with both EU regulations and the legal frameworks of the host countries. Mr. Muller's expertise in international law and regulatory enforcement is

essential to navigating the complex legal environments in which EU-funded projects often operate. His team works closely with national authorities, local legal experts, and international bodies to ensure that all governance structures and operational practices are in compliance with the relevant laws and regulations.

Fatima Jankowska, the Stakeholder Engagement & Policy Coordinator, plays a vital role in ensuring that the EGTC maintains strong relationships with external stakeholders, including non-governmental organisations, civil society groups, and international governance institutions. Ms. Jankowska's responsibilities include facilitating communication between the European Commission and external stakeholders, coordinating policy discussions, and engaging in capacity-building initiatives that promote transparency and accountability in international development projects. Her role is crucial in ensuring that the EGTC's activities are collaborative and inclusive, and that all parties involved in EU-funded projects are committed to upholding governance standards.

Together, these experts form a cohesive and efficient team that ensures the success of the EGTC's mandate. The hierarchical structure of the unit is designed to ensure clear lines of responsibility, with each team member contributing their expertise to different aspects of governance oversight and compliance monitoring. This structure facilitates effective coordination and collaboration both within the EGTC and with external partners.

3. Purpose and Goals of the EGTC

The EGTC was established with the clear purpose of ensuring the governance integrity of EU-funded projects that involve external NGOs and other international development actors. The unit's creation was driven by the recognition that governance-related failures in EU-funded projects, particularly in politically unstable or fragile regions, pose significant risks to the success of the EU's foreign aid programmes. These failures not only undermine the effectiveness of development initiatives but also diminish the credibility and reputation of the European Commission in the international development community.

The overarching goal of the EGTC is to prevent performance failures by identifying and addressing governance risks at an early stage. The unit does so by conducting thorough governance audits, financial assessments, and compliance checks on EU-funded projects. This proactive approach allows for the identification of vulnerabilities before they escalate into more significant issues. By focusing on risk prevention rather than merely responding to problems as they arise, the EGTC aims to reduce the likelihood of corruption, financial mismanagement, and operational inefficiencies, which can all lead to the failure of development projects.

One of the unit's primary objectives is to ensure that all external NGOs and other partners receiving EU funding are in full compliance with the European Commission's governance standards, as well as the legal requirements of the host countries. This involves conducting

regular audits and compliance checks, providing support for capacity building, and offering guidance on how to adhere to best practices in governance and financial management. Through these activities, the EGTC helps to safeguard the integrity of EU-funded projects and ensure that they achieve their intended outcomes.

Additionally, the EGTC is tasked with preventing and resolving conflicts that may arise during the implementation of EU-funded projects. Given the often politically sensitive nature of these projects, governance-related disputes can escalate into larger conflicts that jeopardise the success of the initiatives. The EGTC plays a crucial role in identifying potential sources of conflict and working with stakeholders to develop strategies for conflict prevention and resolution.

Finally, the EGTC is committed to fostering transparency and accountability in the governance of EU-funded projects. This is achieved through regular stakeholder engagement, capacity-building initiatives, and the promotion of best practices in governance. By engaging with external stakeholders and encouraging cooperation, the EGTC helps to create an environment of trust and mutual responsibility that supports the successful implementation of EU-funded projects.

4. Strategic Functions and Activities

The EGTC's strategic functions are grounded in its commitment to preventing governance-related conflicts and performance failures in EU-funded projects. These functions include comprehensive governance monitoring, financial oversight, conflict prevention, and stakeholder engagement. The unit's activities are designed to ensure that all projects meet the highest standards of governance and that any risks or issues are identified and addressed before they can compromise the success of the projects.

Governance monitoring is one of the EGTC's core functions. This involves conducting in-depth assessments of the governance structures of NGOs and other development actors involved in EU-funded projects. The EGTC examines factors such as organisational transparency, decision-making processes, financial management systems, and the capacity of stakeholders to implement projects effectively. By identifying weaknesses in governance structures, the unit can recommend corrective actions that help strengthen the overall implementation of the projects.

Financial oversight is another critical function of the EGTC. The unit conducts regular audits of EU-funded projects to ensure that funds are being used in accordance with the European Commission's regulations and the laws of the host countries. This includes verifying financial transactions, assessing the efficiency of resource allocation, and identifying potential areas for financial mismanagement or corruption.

Conflict prevention and risk mitigation are key areas of focus for the EGTC. The unit works closely with external stakeholders to identify potential governance-related conflicts that could arise during the implementation of EU-funded projects. These conflicts can take many forms, including political interference, disputes over resource allocation, or disagreements

between project partners. By identifying these risks early on, the EGTC can develop strategies to mitigate their impact and prevent them from escalating into larger problems. Stakeholder engagement is another important function of the EGTC. The unit regularly engages with external stakeholders, including NGOs, governments, and international governance bodies, to ensure that all parties are aligned on governance standards and that best practices are shared across projects. This collaboration helps to create a culture of transparency and accountability, which is crucial for the success of EU-funded initiatives.

Objectives for mitigating conflict and enhancing multinational collaboration

The primary purpose of this report is to present actionable priorities for the European Commission aimed at enhancing the governance of future EU-funded multinational projects. These priorities serve as a strategic framework to mitigate risks, improve accountability, and foster collaboration in complex cross-border initiatives. By addressing systemic challenges such as cultural misalignment, resource inefficiencies, and stakeholder disengagement, the European Commission can proactively avoid pitfalls that may compromise project success while simultaneously strengthening trust among member states and partners.

The priorities presented in this report are organised around four key pillars: integrating cross-cultural intelligence into project design, establishing transparent resource allocation mechanisms, institutionalising conflict-resolution protocols, and promoting inclusive decision-making to counter regional biases. By implementing these principles, the European Commission can address issues of financial opacity, bureaucratic fragmentation, and communication breakdowns (core factors contributing to inefficiency in multinational collaborations). Ultimately, this framework aims to empower the Commission to deliver projects that not only meet operational objectives but also reinforce the EU's commitment to unity, innovation, and sustainable growth within an increasingly interconnected yet politically fragmented global landscape.

<u>Cross cultural integration</u>

To prevent cultural misalignment and enhance the success of EU funded projects, several strategies can be adopted. First, the European Commission should conduct pre-project cultural audits to identify differences in cultural values, including power distance, individualism, and uncertainty avoidance, among team members. Using a combination of Hofstede's cultural dimensions theory, and similar frameworks such as Trompenaars' Seven Dimensions of Culture, the identification of cultural differences is made much easier. These audits would allow the European Commission to tailor communication and negotiation strategies to suit the cultural context of each project's stakeholders. Additionally, implementing mandatory cultural training programs for project managers and stakeholders would help prepare them to navigate differences in communication styles, conflict resolution, and decision-making processes (Hofstede, 1984). For example, a cultural clash arises when a French manager's emphasis on hierarchical professionalism and universal rules conflicts with a Swiss employee's preference for local traditions and a more egalitarian workplace structure. The manager's demand to remove personal items from an office setting would highlight France's high-context reliance on implicit workplace norms, while the Swiss employee's resistance would reflect a blend of neutrality and emotional

expression. This tension is a direct result of the contrasting cultural dimensions of power distance, particularism vs. universalism, and neutral vs. emotional communication (Jackson, 2013).

A global example of successfully managing cultural diversity comes from Singapore's Ethnic Integration Policy (EIP), introduced in 1989. The EIP mandates ethnic quotas in public housing to ensure a balanced representation of Chinese, Malay, and Indian communities, preventing the formation of ethnic enclaves and fostering intercultural dialogue (Lim et al., 2019). Although this example covers the area of diversification in Singapore's neighbourhoods, the EU commission must consider the success of such policies in other areas that need improvement. The success of the EIP hinges on three principles: anticipatory governance (which addresses potential cultural divides before they solidify), structural incentives (such as policy tools to encourage integration) and community agency, empowering local leaders to mediate disputes (Sim et al. 2003). Singapore's model demonstrates the value of proactively embedding cultural intelligence into project design, ensuring that cultural differences are addressed from the outset.

Cultural misalignment in multinational projects is not an inevitable outcome, but rather, it is a manageable risk. By learning from successful examples like Singapore's anticipatory governance, the European Commission can turn cultural diversity from a potential obstacle into a strategic asset. By integrating cultural intelligence into project design (by conducting cultural audits, offering targeted training, creating mediation teams, and establishing advisory boards), the European Commission can foster better communication, increase trust among stakeholders, and enhance project outcomes. With these proactive measures, the EU can ensure that cultural differences are not a barrier, but a source of strength, leading to more successful and sustainable collaborations between team members.

The EPPO case study demonstrates how a lack of structured cultural integration can lead to workplace division and inefficiencies. At EPPO, some staff often spoke Spanish among themselves, unintentionally excluding Palestinian employees from key discussions. This created communication barriers, social fragmentation, and a lack of trust, ultimately affecting collaboration. A structured approach, like Singapore's Ethnic Integration Policy (EIP), could have mitigated this issue. Singapore's EIP proactively prevents ethnic enclaves by ensuring diverse residential communities, fostering integration through policy-driven inclusivity rather than leaving it to chance. Applying a similar model, the European Commission should conduct pre-project cultural audits and implement mandatory language inclusivity policies to ensure all team members, regardless of nationality, feel equally involved. This would have prevented the communication breakdowns at EPPO and promoted a more cohesive working environment from the start.

Conflict resolution frameworks

Effective conflict resolution is critical for the success of multinational projects, particularly those funded by the European Commission. Conflict is an inherent risk in cross-border collaborations, where differing interests, values, and communication styles can lead to misunderstandings, delays, or even project failure. To ensure smoother project execution, it is essential to create systems that address conflicts before they escalate. The goal of this objective is to establish proactive conflict-resolution frameworks that not only resolve disputes but also mitigate the risk of conflict arising in the first place. Drawing from global examples of successful conflict resolution, such as El Salvador's extreme reduction in gang violence, the European Commission can take note of frameworks used in order to create a more resilient and cooperative environment for multinational projects.

El Salvador's success in reducing gang violence (from one of the world's highest homicide rates in 2015 to a 70% drop by 2023) offers a model for blending security and social reforms. Recognising that violence is not only a security issue but also a social and economic one, El Salvador adopted a hybrid approach, combining law enforcement with targeted social policies aimed at addressing the root causes of violence (Rosen et al., 2023). This comprehensive strategy focused on addressing issues such as poverty, education, and lack of opportunities, alongside traditional security measures. The initiative also emphasized community participation, where local leaders and citizens played an active role in building trust and resolving conflicts at the grassroots level (Menjívar, 2024). El Salvador's experience underscores the importance of addressing both the symptoms and root causes of conflict, ensuring that efforts to resolve disputes are not only reactive but also proactive.

Although this example encompassing El Salvador's conflict is one with a dark, violent and troubling history, the European Commission can learn from El Salvador's example by adopting a similar multilayered approach to conflict resolution in more professional environments. A key recommendation is the development of steps in conflict resolution, which can address conflicts at various stages of escalation. These steps should involve three levels: mediation, arbitration, and, if necessary, escalation. The first step of conflict resolution should be mediation, where neutral third parties help the conflicting parties communicate and seek a mutually acceptable solution. If mediation fails to resolve the issue, the next step should be arbitration, where an independent authority makes a binding decision to resolve the conflict. Only in cases where these methods fail should escalation to higher authorities or legal action be considered. By implementing these steps, the European Commission can ensure that conflicts are dealt with at the earliest possible stage, preventing them from escalating into more serious issues that could threaten project success. The European Commission must treat illegal actions strongly to ensure that it is discouraged and not ignored (similar to El Salvador's complete security crackdown), and

they must invest in early conflict identification and mediation to ensure that small issues don't become large ones (similar to El Salvador's investment in communities within the country). This second point also draws back to the first objective of cross cultural integration as diverse cultures have a higher likelihood to be a source of conflict within a project.

The EPPO case study illustrates how the absence of clear conflict resolution mechanisms can escalate tensions and create a toxic workplace culture. At EPPO, Miguel's aggressive leadership style and lack of respect for boundaries, such as breaking into Eman's and Ahmed's desks, led to feelings of powerlessness and frustration among employees. Since there was no formal conflict resolution structure, issues were either ignored or left to fester, ultimately undermining the organization's mission. A tiered conflict-resolution approach, like El Salvador's hybrid model of security enforcement and social reform, could have helped address these tensions early on. In El Salvador, crime prevention efforts combined strong enforcement with proactive mediation and social programs, reducing violence by tackling both the symptoms and root causes of conflict. Similarly, the European Commission should establish structured conflict-resolution protocols within multinational projects, combining mediation, arbitration, and structured escalation paths. Had EPPO implemented such a system, disputes could have been de-escalated before they disrupted team cohesion and operational effectiveness.

Conflict reconciliation

Conflict reconciliation is a critical element in ensuring the success of multinational projects. South Africa's Truth and Reconciliation Commission (TRC) provides an instructive model for how a restorative justice approach can create space for healing and foster collaboration in post-conflict societies (Merwe and Chapman, 2008). For EU-funded multinational projects, particularly those involving diverse stakeholders with complex backgrounds, integrating elements of the TRC model can help address tensions while strengthening the foundations for future cooperation.

A central tenet of the TRC's approach was its focus on truth-telling, where those involved in human rights violations were granted amnesty in exchange for full disclosure of their actions. This allowed South Africa to confront its painful past openly, facilitating a process of healing for victims while encouraging perpetrators to acknowledge the harm they had caused (Merwe and Chapman, 2008). For European Commission projects, particularly those with historical or political sensitivities, a similar framework could be used to encourage transparency and dialogue. By establishing mechanisms for stakeholders to openly address past issues, the European Commission can create a cooperative environment in which all parties are able to move forward rather than being mired in unresolved conflict. The lesson from the TRC model should be clear and convey that open communication should be

prioritised but must be balanced with actions that address deeper systemic issues to prevent exacerbating existing tensions.

By integrating elements of the TRC model into the conflict reconciliation processes for EU-funded projects, the European Commission can foster an environment where historical tensions are addressed, trust is rebuilt, and stakeholders are empowered to collaborate effectively in the future.

The EPPO case highlights how unaddressed historical tensions and workplace biases can lead to deep divisions within multinational teams. Miguel's discriminatory remarks toward Palestinian employees, particularly his accusations of corruption against Ahmed, fostered an environment of distrust and widened the gap between European and Palestinian staff. This lack of mutual understanding parallels the challenges South Africa faced post-apartheid, where historical grievances hindered national unity. South Africa's Truth and Reconciliation Commission (TRC) successfully used structured dialogue and transparency to acknowledge past injustices, rebuilding trust between divided communities. A similar restorative justice model could have benefited EPPO, where open discussions on workplace bias and cross-cultural misunderstandings might have prevented these divisions. For future EU projects, the European Commission should implement structured reconciliation processes, such as facilitated stakeholder dialogues, ensuring that underlying tensions are addressed early, rather than allowing biases and mistrust to undermine long-term collaboration.

Optimal personnel and resource allocation

Effective resource allocation is a key determinant of the success of EU-funded multinational projects. Ensuring that financial, human, and material resources are used efficiently and strategically can significantly enhance project impact and sustainability. This objective emphasizes not only the proper distribution of financial resources but also the strategic deployment of the right personnel, expertise, and skills to meet long-term project goals. Drawing from global examples, such as South Korea's targeted post-war investments in education and infrastructure, the European Commission can adopt key strategies to optimize resource allocation for maximum impact, ensuring sustainability and scalability across diverse project environments.

South Korea's post-war recovery serves as a compelling case in how targeted investments can drive long-term development. After the Korean War (1950–1953), the South Korean government made deliberate investments in key sectors such as education and infrastructure, which aligned with the nation's cultural values and long-term development goals. This emphasis on education laid the groundwork for South Korea's rapid industrialization in the 1960s and beyond, enabling the country to emerge as a global economic leader. The success of this model underscores the importance of aligning

investments with long-term societal benefits, ensuring both immediate recovery and future economic prosperity (Park et al., 2024).

For the European Commission, this example offers several key lessons. One important recommendation is to tie funding to clear, measurable performance metrics. These metrics (stakeholder satisfaction, project milestones, and societal impact) should be established at the outset of each project and regularly assessed to ensure that resources are being used effectively. Projects that consistently fall short of performance benchmarks should be re-evaluated, and resources should be redirected to initiatives that show stronger potential for success. This results based approach helps to avoid resource wastage and ensures that funds are concentrated on projects that deliver tangible outcomes.

Prioritising scalable, sustainable initiatives is essential for achieving a lasting impact. Rather than focusing on short-term, small-scale projects with limited influence, the European Commission should invest in initiatives that offer measurable societal returns and long-term sustainability. This might include projects aimed at creating infrastructure, building local capacity, or promoting economic self-sufficiency. For example, funding initiatives that focus on renewable energy infrastructure or training local leaders can create self-sustaining development that outlasts the initial funding phase, ensuring continued benefits even after the project's conclusion.

Another crucial strategy for optimising resource allocation involves the "Gordian Knot" principle, which advocates cutting funding to projects with unsolvable conflicts. Some projects face entrenched issues that make success highly unlikely, despite continued investment. Instead of persisting with these projects, the European Commission should consider reallocating resources to more viable alternatives. Inspired by the myth of Alexander the Great, who solved the seemingly impossible puzzle of the Gordian Knot by cutting through it, this principle encourages the redirection of resources from intractable conflicts to initiatives with clearer paths to success. By adopting this principle, the European Commission can ensure that funding is reserved for projects with a higher likelihood of success.

Optimal resource allocation also requires ensuring the right personnel are in place, equipped with the necessary skills and cultural understanding. The European Commission should invest in capacity building programs that not only provide technical training but also foster cultural intelligence. This aligns with the Commission's broader objectives, such as cross cultural integration, and ensures that project managers and stakeholders are equipped to navigate challenges in diverse environments. By putting the right people in the right roles, the European Commission can maximise the impact of its resource allocation and ensure the success of its projects.

The EPPO case demonstrates how financial mismanagement and resource disparities can cause employee dissatisfaction and operational inefficiencies. Salary discrepancies at EPPO were stark (Miguel was paid 12% more than his allocated budget, while Eman was paid 60% less, despite her essential role in financial management). The lack of transparency in salary structures created resentment and reduced staff morale, impacting overall productivity. A more effective model for resource allocation is South Korea's post-war economic strategy, which prioritised targeted investments in education and infrastructure to ensure long-term, equitable growth. South Korea's approach emphasised allocating resources where they had the highest long-term impact, ensuring financial efficiency and sustainable development. Similarly, the European Commission should implement performance-based funding models and regular salary audits to maintain fairness and transparency in multinational projects. Had EPPO followed such a structured resource allocation strategy, financial inequities could have been prevented, fostering a more motivated and engaged workforce.

Summary

This report outlines a comprehensive approach for the European Commission to enhance the governance of EU-funded multinational projects. By focusing on cross-cultural integration, effective conflict resolution, strategic resource allocation, and fostering inclusive decision-making, the Commission can proactively address potential challenges that often arise in diverse and complex collaborations. Drawing from successful global examples, these strategies provide a clear roadmap for improving communication, trust, and efficiency, ensuring that projects meet their objectives and deliver long-lasting impact.

By implementing these strategies, the European Commission can turn potential obstacles into opportunities for growth and innovation. With a focus on prevention, transparency, and collaboration, these recommendations will not only strengthen the EU's internal processes but also reinforce its commitment to sustainable development, unity, and global leadership in a rapidly changing world.

Observations (Analysis)

Analysis of the EPPO case reveals consistent patterns of mismanagement and governance breakdown. These failures include cultural misalignment, financial disparities, lack of structured conflict resolution, and inefficient allocation of resources. If these issues are not proactively addressed, these issues can lead to underperformance and weakened institutional credibility. This case serves as a microcosm for the potential issues associated with multinational projects. Leadership conflicts, exclusionary cultural practices, and inadequate oversight led to communication breakdowns and inefficiencies. Such incidents are not unique to EPPO, but are symptomatic of many cross-border initiatives where different cultural and political interests clash.

Cultural differences were widespread at EPPO, and the lack of structured cultural integration led to divisions among employees. Spanish-speaking employees unintentionally excluded their Palestinian colleagues, leading to mistrust and social fragmentation. Without cultural audits or inclusive language policies, the workplace became segmented, undermining collaboration. Tensions increased and working relationships became strained, leading to inefficient project implementation.

Miguel's leadership issues created a toxic work environment. His intrusive management style, including breaking into employees' desks, helped to fuel resentment and mistrust. In addition, the lack of clear dispute resolution mechanisms meant that conflicts were either ignored or handled inappropriately.

Salary discrepancies led to dissatisfaction and disengagement among some employees. Moreover, the lack of performance-based resource allocation meant that financial decision making was inconsistent and ineffective, leading to wasted resources and a lack of accountability. These inconsistencies contributed to a general sense of frustration and mistrust among staff, which further undermined the stability of the project.

To mitigate these challenges, the European Commission can draw lessons from successful governance models in other regions. On issues of cultural integration, for example, inspiration can be drawn from the EIP in Singapore. The EIP is working to actively prevent cultural enclaves through structured diversity mandates. A similar approach in future EU projects, involving cultural audits and integration measures, could prevent divisions in the workplace and improve collaboration. In addition, establishing mentoring programmes between culturally diverse employees can help bridge divides and foster collaboration.

El Salvador's drastic reduction in gang violence through a hybrid model of security controls and social programmes demonstrates the importance of a conflict resolution framework. If the European Commission wanted to develop its own conflict resolution model, it should ideally include a range of mediation and conciliation protocols to resolve disputes early and constructively. In addition, special conflict resolution training should be offered to all managers. They should be equipped with the necessary tools to recognise, de-escalate and effectively resolve conflicts. Employees should also be consistently reminded to report any grievances they may experience in the workplace. Confidential channels should be established so that reports can be dealt with quickly and impartially.

For any project that wishes to avoid the same pitfalls that EPPO suffered from, facilitating conflict reconciliation is extremely important. The South African Reconciliation Commission paved the way for national healing by prioritising truth-telling and open dialogue. Similar reconciliation processes should be utilised, especially when a multinational project is located in an area where the wounds from past conflicts are still felt by the local population on a daily basis. Restorative justice should be an integral part of any conflict reconciliation measure. Two examples of widely successful restorative justice programmes from which potential projects could draw inspiration are the "conferences" of the Maori culture in New Zealand and the "circles" of the indigenous peoples of North America (Van Ness, 2016). Furthermore, bias mitigation training should be provided to employees in the hopes of helping them recognise and overcome any unconscious biases that may hinder effective teamwork.

Finally, similar to South Korea's post-war economic redevelopment, the project should introduce performance-based funding models that link the distribution of funds to clear, measurable results. In addition, the integration of dynamic workforce planning strategies, such as predictive analytics for staffing and resource allocation, can help ensure that staff are assigned based on skill requirements and project needs, thereby increasing overall efficiency.

None of this means, however, that the introduction of such practices is without potential challenges. The introduction of new governance frameworks can be slowed down by established bureaucratic processes and other entrenched practices, making it difficult to effectively implement the necessary reforms. This type of institutional inertia is common in such reform attempts. It is usually due to rigid hierarchies and an unwillingness to deviate from traditional methods. For example, it has been shown that a culture of excessive risk avoidance and deeply ingrained norms have greatly slowed down the introduction of new technologies in Japan (Chen, 2008). Resistance from key decision makers who see change as a threat to their authority can also hinder progress. Overcoming these obstacles requires persistent lobbying, change management strategies and demonstrating the tangible benefits of proposed reforms through pilot programmes and gradual implementation.

Another potential challenge may arise from the adoption of certain conflict resolution strategies. Any introduction of conflict resolution strategies based on international models must be tailored to the specific political and cultural context of the countries in which they are to be implemented. Resistance may stem from deeply rooted social norms, historical grievances or power dynamics that influence decision-making processes. In addition, externally imposed frameworks may be perceived as foreign interventions, leading to reluctance or outright rejection by communities that prefer fully indigenous approaches to conflict resolution. To overcome these challenges, it is crucial to involve local stakeholders in the design and implementation of governance strategies and to ensure that any potential solutions are contextualised and in line with existing cultural frameworks. Additionally, promoting diplomatic dialogue and confidence-building initiatives can help bridge the gap between external policy makers and the local population, increasing the likelihood of successful adoption and implementation.

Finally, ensuring adequate financial and human resource investment in long-term governance improvements remains a challenge, especially when political cycles prioritise short-term results over sustainable institutional reforms (Ogami, 2024). Budget constraints often lead to inconsistent funding, making it difficult to sustain governance improvements over multiple project cycles. In addition, competing political priorities can lead to resources being channelled into projects that promise immediate gains rather than those that require long-term investment. To overcome this obstacle, it is important to make multi-year funding commitments and ensure continuity of financial support across changing political governments. In addition, eliminating inefficiencies in financial management and reducing the misallocation of resources can enhance the impact of allocated funds.

To avoid the same shortcomings as the EPPO project and to increase the success of future projects, the European Commission should prioritise the adoption of intercultural integration strategies, clear conflict resolution mechanisms, structured reconciliation processes and optimal allocation of staff and resources. By incorporating these lessons into future project planning, the European Commission can create a framework that prevents conflict, promotes cooperation and ensures long-term project success. Through proactive measures, structured oversight and inclusive decision-making, EU-funded multinational projects can become models of efficiency, transparency and sustainability.

Appendix

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